6. This method is suitable for assets such as bottles, loose tools, livestock etc.
   a. Depletion method
   b. Production unit method
   c. Revaluation method
   d. Sum of the year's digits method
7. This method is suitable for fixed assets like tunnels, bridges, railway lines etc.
   a. Production unit method
   b. Annuity method
   c. Depreciation fund method
   d. Renewals method
8. Obsolescence means decline in value of asset due to _____.
   a. Wear and tear
   b. Fall in market value
   c. Innovation and inventions
   d. All of the above
9. The term used to depreciate intangible asset is _____.
   a. Obsolescence
   b. Replacement
   c. Amortisation
   d. Depletion
10. Rate of depreciation is same but the amount of depreciation is diminishing under _____.
   a. Fixed Installment Method
   b. Diminishing Balance Method
   c. Both
   d. None of the above

Answers: 1.(a), 2.(d), 3.(d), 4.(a), 5.(a), 6.(c), 7.(a), 8.(c), 9.(c), 10.(b)

II Very Short Questions

1. Define depreciation?
2. What is Depletion?
3. What is obsolescence?
4. Write short notes on Revaluation method?
5. What is meant by Amortization?
6. Explain the term "Wear and Tear"

III Short Questions

1. Describe the causes of depreciation?
2. What are the different methods of providing depreciation?
3. Write a short note on – (a) Fixed Instalment Method (b) Written Down Value Method.
4. Explain the method of charging depreciation for Wasting Assets.

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